MARKETBEAT

PHOENIX

INDUSTRIAL Q1 2025

CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
13.3% Vacancy Rate	▲	▼
1.8M YTD Net Absorption, SF	▲	▲
$1.10 Asking Rent, PSF *(Overall, Net Asking Rent)*	▲	▲

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.5M Phoenix Employment	—	▲
3.5% Phoenix Unemployment Rate	▲	▲
4.1% United States Unemployment Rate	▲	▲

Source:BLS

ECONOMY: PHOENIX CONTINUES TO OUTPERFORM NATIONAL AVERAGES

Phoenix Metro recorded an employment level of 2.5 million jobs, while the unemployment rate rose significantly from 3.0% in Q1 2024 to 3.5% in Q1 2025. Phoenix's unemployment rate remained well-below the national average of 4.1% and was the second-lowest rate of any major city with employment exceeding 2 million jobs. The metro area continued to experience strong growth, as the number of households increased by 2.5% year-over-year (YOY) to 2.0 million. Strong wage growth drew job seekers back into the labor market, as the median household income reached $90,600, up 4.5% YOY. In comparison, the national average salary rose 3.5% YOY to $81,700. Phoenix outperformed national figures due to its robust job market, steady population growth, and competitive wages, which attracted both businesses and workers to the region.

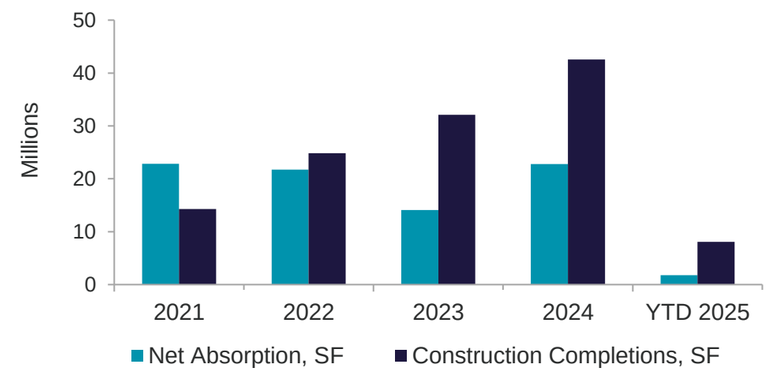
SUPPLY: VACANCY RISES DESPITE DEVELOPMENT REDUCTIONS

The vacancy rate finished the first quarter at 13.3%, marking the eighth consecutive quarter where vacancy levels rose. This represented a 110-basis-point (bps) surge from Q4 2024 and a 340-basis-point surge YOY. Vacancy trends have been largely driven by continued supply growth and sublease availabilities. Despite metro-wide construction reduction efforts, hot-spots, such as the Southeast and Southwest markets, continued to elevate rates as speculative projects that began construction in 2023 and early 2024 delivered vacant. The Phoenix-Mesa Gateway and North Goodyear micro-markets, for example, posted vacancy rates of 39.1% and 29.1%, respectively. Conversely, the Northeast Valley outperformed the greater market with a 5.7% vacancy rate.

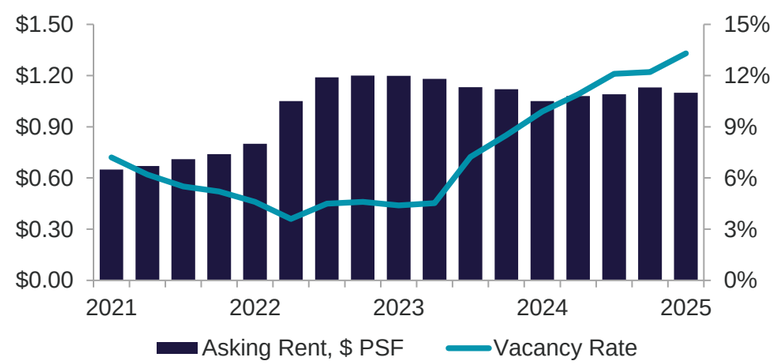
PRICING: ASKING RATES FALL FOR THE FIRST QUARTER SINCE Q1 2024

Both direct and overall asking rents fell from Q4 2024, averaging to $1.14 per square foot (psf) triple net (NNN) and $1.10 psf NNN, respectively. The quarter's overall asking rate reflected a 2.5% quarter-over-quarter (QOQ) drop, but a 5.1% hike YOY. Unlike previous quarters, each market experienced a unique change both QOQ and YOY. The Southeast Valley was one of two markets to contribute to an overall drop in asking rates from Q4 2024. Meanwhile, a 31.5% YOY increase in the Southwest Valley was the driving force for an annual overall price hike. The year concluded with prices ranging from $1.05 psf NNN (manufacturing) to $1.28 psf NNN (office service). Historically, high technology properties have posted the highest asking rents; however, evolving demand has led office service properties to attain the highest bids, particularly in the Northern markets.

SPACE DEMAND / DELIVERIES



OVERALL VACANCY & ASKING RENT



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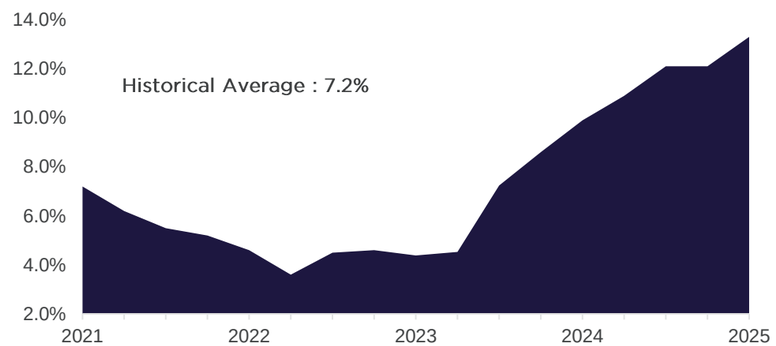
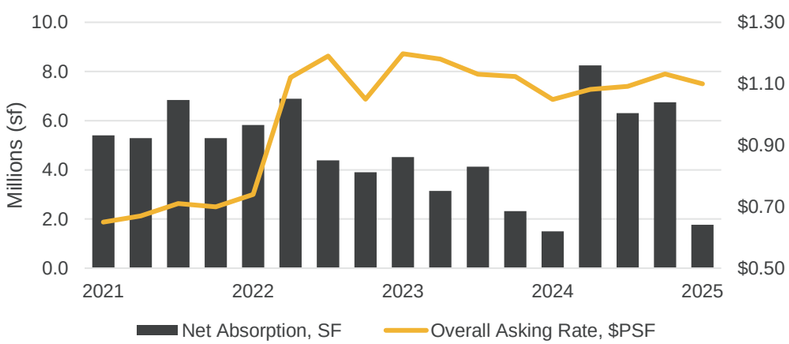
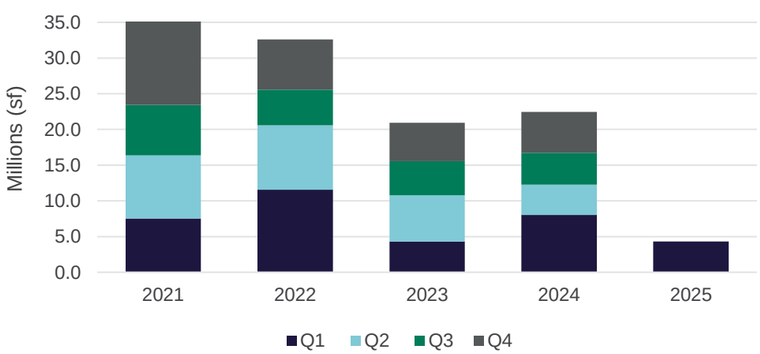
OVERALL VACANCY



ABSORPTION VS. RENT



LEASING ACTIVITY



ACTIVITY: LEASING ACTIVITY DROPS IN 2025

Leasing activity experienced a significant decline both QOQ and YOY, contracting by 24.9% and 46.4%, respectively. This brought Q1 2025 leasing volume to a total of 4.3 million square feet (msf). However, the relative downturn is largely attributable to the hyperactive leasing market in Q1 2024, which reached over 8.0. msf—the highest level recorded since Q1 2022 (11.7 msf). Q1 2025 figures were competitive to market-wide leasing reductions experienced in the middle of 2024. It is likely that decreased activity was influenced by political and financial conditions in the latter half of 2024. Tenant demand in the warehouse/distribution sector accounted for the largest portion of leasing, representing 80.2% (3.5 msf) of the quarter's volume. The Southwest Valley yielded the highest market demand, accounting for 44.6% (1.9 msf) of quarterly leasing, due to its proximity to Southern California's sizeable population, major ports, and competitive pricing. The trend of 3PL companies driving industrial demand in Phoenix is projected to persist for the foreseeable future.

ABSORPTION: NET ABSORPTION NEARS HISTORIC LOW

After a strong 2024 that yielded large-scale deliveries and move-ins, such as the completion of TSMC's 4.3 msf semiconductor fab, quarterly absorption figures diminished in Q1 2025, posting 1.8 msf in positive absorption. While Q4 2024's absorption level (6.7 msf) was more than three times higher than Q1 2025 absorption, YOY changes reflect an 18.2% improvement. Warehouse/distribution and high technology facilities were the only product types that contributed positive move-in to move-out ratios—an aggregate of 2.0 msf of positive absorption. Almost all submarkets across the Phoenix Metro reported net occupancy gains, with the acceptation of the Northeast Valley. Southern markets' vast space for new-builds continued to attract the bulk of new-tenant-absorption.

CONSTRUCTION: DEVELOPERS CUT-BACK ON CONSTRUCTION STARTS

After a record-high of over 42.5 msf of construction deliveries throughout 2024, developers have begun to cut-back on new construction activity. Completion levels remain elevated at 8.1 msf, as projects that broke ground in 2023 and 2024 delivered. Q1 2025 completions reflected both a QOQ and YOY increase by 1.5% and 2.5%, respectively. Lincoln Property Company's 2.4 msf project, Luke Field, marked the largest completion of the quarter and captured 29.6% of new supply. While delivery output remains high, only 782,700 sf began construction within the quarter—a 13.2% QOQ and 85.4% YOY reduction. Relatively flat supply growth and falling construction initiatives indicate an anticipated turning-point on previously high construction activity and rising vacancy rates.

OUTLOOK

- While rising vacancy rates have sparked concerns of oversupply, developers have proactively reduced new construction, squeezing first quarter starts by 85.4% from 4Q 2024. Southern submarkets with high vacancy rates will further shrink development prospects, until new speculation space is occupied. These adjustments indicate Phoenix's control over market equilibrium, potentially minimizing negative externalities and paving the way for a more stable market throughout 2025.
- While the effect of tariffs remains unclear at the start of 2025, it is likely that rising construction costs will further hold back development activity. However, current Phoenix speculative development may see higher absorption rates as companies increase imported inventory—combating elevated vacancy rates in hyperactive development markets.
- Absorption and development levels continue to climb due to the advanced manufacturing and high-tech sectors. Large-scale BTS construction activity, especially in the semiconductor industry, will likely set an emerging precedence not only in Phoenix's commercial real estate realm, but in the it's overall economy.

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MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	OVERALL VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)	UNDER CNSTR (SF)	CNSTR COMPLETIONS (SF)	DIRECT NNN ASKING RATE*	OVERALL NNN ASKING RATE*
Airport	71,252,549	4,499,614	6.3%	99,377	562,934	1,259,927	309,550	$1.15	$1.12
Northeast Valley	14,307,034	818,423	5.7%	-107,810	88,229	305,375	242,740	$1.42	$1.43
Northwest Valley	58,678,823	4,954,117	8.4%	75,159	430,609	407,294	850,677	$1.11	$1.13
Southeast Valley	106,408,965	17,958,389	16.9%	769,487	1,303,109	6,919,507	795,494	$1.23	$1.21
Southwest Valley	203,137,084	32,236,401	15.9%	930,300	1,922,032	5,499,409	5,884,719	$1.00	$0.91
MARKET TOTALS	**453,784,455**	**60,466,944**	**13.30%**	**1,766,513**	**4,306,913**	**14,391,512**	**8,083,180**	**$1.14**	**$1.10**

**Rental rates reflect monthly weighted net asking $psf/year*

KEY LEASE TRANSACTIONS Q1 2025

PROPERTY	SUBMARKET	TENANT	SF	TYPE
I-10 Gateway – Phase I	Southwest Valley	Kenco Logistics Services	641,906	Direct
Goodyear Crossing	Southwest Valley	Blue Buffalo	540,349	Renewal*
303 Commerce Center – Phase I	Southwest Valley	Broad Range Logistics	388,260	Direct
O'Reilly Auto Parts Distribution Center	Southwest Valley	O'Reilly Auto Parts	351,985	Renewal*
Westside Business Park – Bldg. 4	Southwest Valley	Staples	296,829	Renewal*

**Renewals not included in leasing statistics*

KEY SALE TRANSACTIONS Q1 2025

PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
Starwood Capital AZ/NV Industrial Portfolio 2025 (9 properties)	Multiple	Starwood Capital / BKM Capital	778,003	$156.8M / $201.54
Starwood Capital AZ/NV Industrial Portfolio 2025 (7 properties)	Multiple	PGIM Real Estate / Longpoint Realty Partners LP	517,008	$110.0M / $212.76
REI Distribution Center	Southwest Valley	REI / Madison Capital	410,421	$46.4M / $113.05
Gateway 202 – Bldg. 4	Southeast Valley	Scannell Properties / Rob E Holt	118,392	$42.3M / $357.37
Echo Park 303 – Bldg. A	Southwest Valley	Grandview Partners / LBA Realty	220,240	$39.0M / $177.08

KEY PROJECTS UNDER CONSTRUCTION Q1 2025

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
LG Energy Solution	Southeast Valley	LG Energy Solution	1,500,000	LG Energy Solution
Olive logistics Center	Southwest Valley	N/A	1,030,880	Logistics Property Co.
Meta Data Center	Southeast Valley	Meta	960,000	Meta / DPR Construction

KEY CONSTRUCTION COMPLETIONS Q1 2025

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
Luke Field – Bldgs. A,B,C	Southwest Valley	N/A	2,429,161	Lincoln Property Company
Goodyear Airpark – Bldgs. A-F	Southwest Valley	N/A	1,625,586	Lincoln Property Company
The Base – Phase I - Bldgs. 1-7	Southwest Valley	Tesla	1,182,877	ViaWest Group

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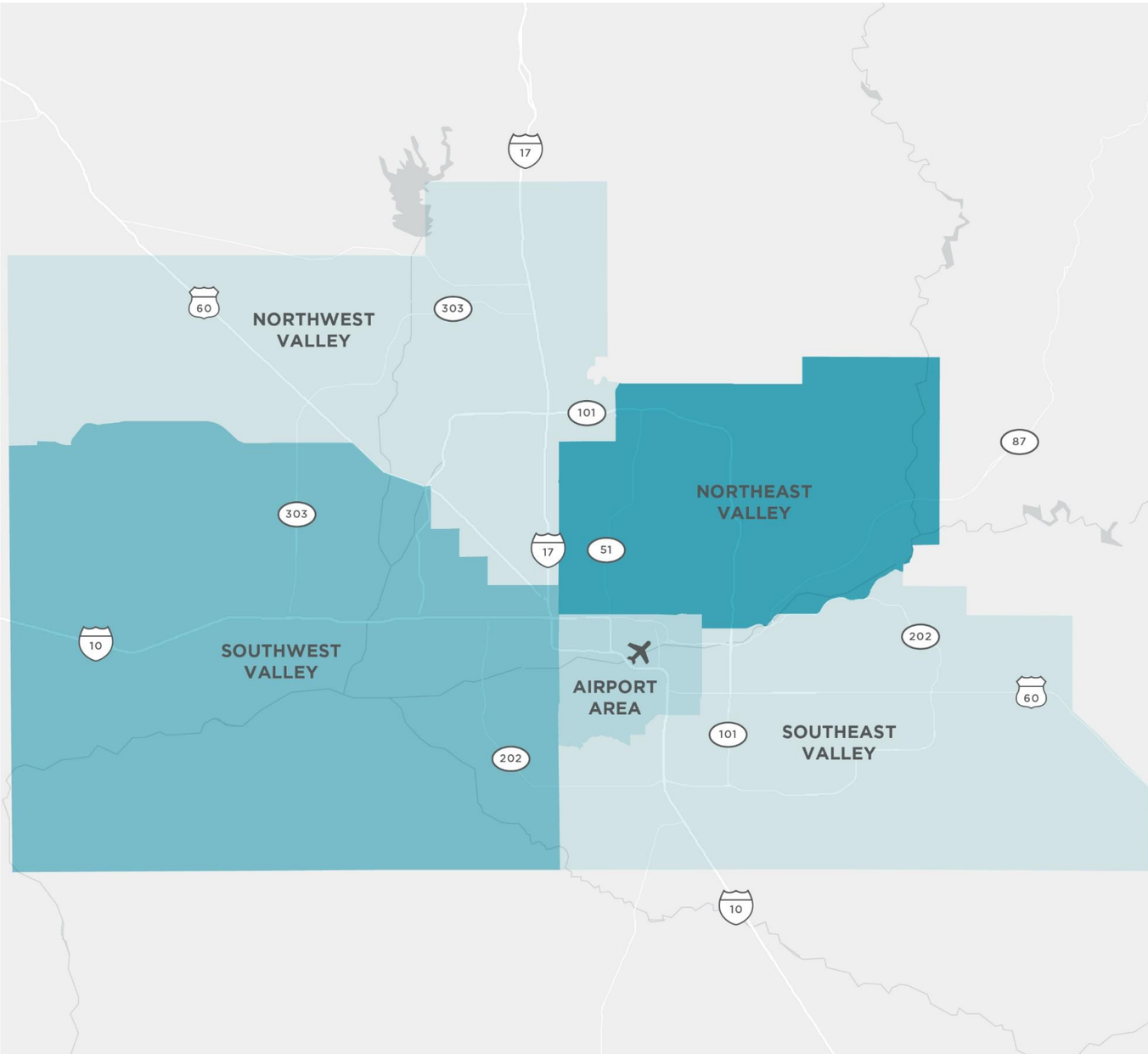
INDUSTRIAL SUBMARKETS



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